2. Change in capital	The amount of capital normally remains unchanged except when additional capital is introduced or capital is withdrawn permanently.	The amount of capital changes from period to period.
3. Closing balance	Capital account always shows a credit balance. But, current account may show either debit or credit balance.	Capital account generally shows credit balance. It may also show a debit balance.
4. Adjustments	All adjustments relating to interest on capital, interest on drawings, salary or commission, share of profit or loss are done in current account.	All adjustments relating to interest on capital, interest on drawings, salary or commission, share of profit or loss are done in the capital account.

3.7 Interest on capital and interest on drawings of partners

3.7.1 Interest on capital

Interest on capital is the interest allowed on capital of the partners. In general, if the capitals of partners are disproportionate to the profit sharing ratio the partners may agree to allow interest on capital. It will compensate the partners who have contributed high amount towards capitals. The rate of interest on capital is generally agreed by the partners and is mentioned in the partnership deed. It is allowed only when there is profit and it is provided before division of profits among the partners. No interest is allowed on the capitals of partners, if it is not specifically mentioned in the partnership deed.

When the firm incurs loss, interest on capital will not be provided. If there is insufficient profit, that is, the net profit is less than the amount of interest on capital, interest on capital will not be provided, but the profit will be distributed among the partners in their capital ratio.

Following are the journal entries to be made in the books of the partnership firm.

(a) For providing interest on capital

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Interest on capital A/c Dr.		xxx	
	To Partner's capital / current A/c			xxx

Note: Interest on capital is due to the partners from the firm hence partner's capital/current account is credited and interest on capital account is debited.

(b) For closing interest on capital account

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Profit and loss appropriation A/c Dr.		xxx	
	To Interest on capital A/c			xxx

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